



ENERGEN LIMITED

ABN 40 078 849 055

**Network Price List - Contestable Customers
(Network Use of System Prices)
2003/2004**

To apply on and from 1 July 2003

The network prices set out in this document apply to the ENERGEN Limited area of supply: –

The Cities of Brisbane, Caloundra, Gold Coast, Ipswich, Logan and Redcliffe, the whole of the Shires of Beaudesert, Caboolture, Kilcoy, Laidley, Maroochy, Noosa, Pine Rivers and Redland, and parts of the Shires of Boonah, Cooloola, Crows Nest, Esk, Gatton, Kilkivan and Tiaro that are supplied from the State transmission grid.

NETWORK PRICE LIST

Definitions of Network User Groups

To provide the appropriate economic and cost of supply signals and consistent with the Network Pricing Principles Statement approved by the Queensland Competition Authority, there are four groups of contestable network users for whom network prices have been developed, namely:

- **Individually Calculated Customers (ICC's);**
- **Connection Asset Customers (CAC's);**
- **Embedded Generators (EG's); and**
- **Standard Asset Customers (SAC's).**

The purpose of the four contestable network user groups is to provide individual and direct cost of supply signals to those users who are capable of responding to the signals in the appropriate manner.

Site Specific Prices

Network Prices are calculated on a site specific basis for the following contestable network users and are not published in the public domain:

- **Individually Calculated Customer (ICC)** network prices will apply for all customers with energy consumption greater than 40 GWh/year, or where a customer's circumstances in a pricing zone mean that the average shared network charge becomes meaningless or distorted. ICC prices are based on actual TUOS charges for the relevant transmission connection point, plus charges associated with the actual shared distribution network utilised for the electricity supply plus connection charges based on actual connection assets utilised. This provides the greatest cost reflectivity for these customers and is feasible since the number of such customers is relatively small. It is also justified by virtue of the shared distribution network assets being designated specifically to meet the requirements of these customers.

ICC prices for customers with energy consumption lower than 40 GWh per annum could occur where:

- a customer has a dedicated supply system which is quite different and separate from the remainder of the supply network;
 - there are only two or three customers in a supply system making average prices inappropriate; or
 - inequitable treatment of otherwise comparable customers arising from the 40 GWh cut-off. Selection of these customers will be at the sole discretion of **ENERGEX Limited (ENERGEX)**.
- **Connection Asset Customer (CAC)** network prices will apply to non-ICC customers with energy consumption greater than 4 GWh/year. These charges are based on average shared network charges plus site specific connection charges based on the actual connection assets utilised. This provides a significant degree of cost reflectivity for this group of customers while recognising the practical difficulties of calculating individual shared network charges for each customer.
- CAC prices for customers with energy consumption lower than 4 GWh per annum could occur where:
- a customer has a dedicated supply system which is quite different and separate from the remainder of the supply network; or
 - inequitable treatment of otherwise comparable customers arising from the 4 GWh cut-off. Selection of these customers will be at the sole discretion of **ENERGEX**.
- **Embedded Generator (EG)** network prices for connection and access services will be developed on a similar basis as CACs. This is due to the nature of connections that are typically non-standard and may require additional embedded generator protection system upgrades. If the embedded generator's installation is a net importer of energy and uses ENERGEX's network to meet its needs when the generator is not running, the appropriate customer network prices will apply. The EG will receive only a single charge for the connection assets regardless of whether it is importing or exporting.

ENERGEX will provide these site specific network prices to the network users and their Retailer of Choice directly.

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Standard Prices

Standard network prices will apply to all remaining contestable network users. **Standard Asset Customer (SAC)** network prices are based on the averages of both the shared network charges and connection charges for the customer group in the particular zone. SAC network prices for the relevant customer groups are published prior to each successive tranche of contestability and every year thereafter.

On being declared contestable, the Customer or its Retailer of Choice will nominate the Network Charge Category applicable to the site from among the following categories:

- *High Voltage Metered Demand* is available to customers who have high voltage metering and take supply at high voltage. This category is NOT available to customers who have non-standard or significant connection assets provided by ENERGEX.
- *Large Demand, Medium Demand and Small Demand* are available to all standard asset customers. The network charge options are self-selecting, as customers will find an optimum selection based on their load characteristics.
- *Small Volume* is available only to contestable customers who since becoming contestable have had a reduction in energy consumption to below 100 000 kW.h per year. The application of this network price is subject to agreement with ENERGEX.

Allocation of Transmission Use of System Costs (TUOS)

After the allocation of TUOS to all ICC's, an average TUOS c/kW.h is calculated for the remaining customers.

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Schedule of Network Prices Available to Standard Asset Customers (GST Inclusive)

Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices			POA	POA
DH2	High voltage Demand	11 kV Line	400	N/A	\$898.81	\$5.2756	0.8305
DL	Large Demand	LV Line	400	N/A	\$1,213.96	\$5.7387	0.9009
DM	Medium Demand	LV Line	120	600	\$383.35	\$7.1401	0.8965
DS	Small Demand	LV Line	40	180	\$88.33	\$9.7625	0.8404
VS	Small Volume	LV Line	N/A	N/A	\$223.96	N/A	4.6288

Schedule of Network Prices Available to Standard Asset Customers (GST Exclusive)

Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices			POA	POA
DH2	High voltage Demand	11 kV Line	400	N/A	\$817.10	\$4.7960	0.7550
DL	Large Demand	LV Line	400	N/A	\$1,103.60	\$5.2170	0.8190
DM	Medium Demand	LV Line	120	600	\$348.50	\$6.4910	0.8150
DS	Small Demand	LV Line	40	180	\$80.30	\$8.8750	0.7640
VS	Small Volume	LV Line	N/A	N/A	\$203.60	N/A	4.2080

Notes on Network Prices (Standard Asset Customers)

1. Demand and/or Volume are to be measured at each individual network connection point.
2. Minimum Chargeable Demand will be applied for each month where the monthly maximum demand fails to exceed this value.
3. The Small Volume network price is available only to those contestable customers who since entering the market have had a reduction in annual energy consumption to below 100 000 kW.h per year. The application of this network charge is subject to agreement with ENERGEX. This price is subject to annual review and may not be offered if an alternative network price is made available.
4. N/A – Not applicable.
5. POA – Price on Application.

NETWORK PRICE LIST

Schedule of Network Prices Available to Connection Asset Customers (GST Inclusive)

Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
CAC110	110kV	Site Specific	Site Specific	POA	POA	POA
CAC33	33kV	Site Specific	Site Specific	\$0.7073	\$1.0076	\$0.4978
CAC11B	11kV Bus	Site Specific	Site Specific	\$1.1902	\$1.6896	0.5163
CAC11L	11kV Line	Site Specific	Site Specific	\$1.7226	\$2.9502	0.5353

Schedule of Network Prices Available to Connection Asset Customers (GST Exclusive)

Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
CAC110	110kV	Site Specific	Site Specific	POA	POA	POA
CAC33	33kV	Site Specific	Site Specific	\$0.6430	\$0.9160	0.4525
CAC11B	11kV Bus	Site Specific	Site Specific	\$1.0820	\$1.5360	0.4694
CAC11L	11kV Line	Site Specific	Site Specific	\$1.5660	\$2.6820	0.4866

Notes on Network Prices (Connection Asset Customers)

1. Demand and/or Volume are to be measured at the relevant metering point.
2. The Fixed Charge is dependent upon the assets dedicated to the customer and therefore is site specific.
3. The site-specific component of network prices is not published in the public domain.
4. ENERGEX will provide network prices for these sites to the network users and their Retailer of Choice.
5. N/A – Not applicable.
6. POA – Price on Application.

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Contractual Provisions Associated with Network Prices

The following contractual provisions apply in relation to the application of network prices set out in this Network Price List:

Standard Asset Customers

1. The network prices applied by Retailers will be subject to review in line with the following provisions:
 - ENERGEX may review the network charge category selected by the Customer or their Retailer of Choice a few months after the customer enters the market.
 - ENERGEX must give the customer at least one month's notice of a proposed change in their network charge category.
 - The Customer may elect to review applied network charge category six months after entering the contestable market.
 - After the initial 6 month period, the customer shall only be able to request that their network charge category be changed once in any twelve month period at no cost, unless there has been a substantial step load change.
 - Changes in network charge category will only proceed upon approval by ENERGEX.
 - Any change of network charge category will take effect from the commencement of the next billing period.
2. Customers who exceed the maximum allowable demand applicable to their network charge category may, at the discretion of ENERGEX, be requested to modify their demand activity or be assigned the appropriate network charge category.

All Contestable Customers

3. Where ENERGEX's load control relays and associated metering exist, they may not be disconnected without ENERGEX's prior written consent.
4. Where applicable, service availability and demand charges will be calculated on a pro rata daily basis for initial and final accounts.
5. Customers or their Retailer of Choice will be billed on a monthly basis. Under 6.16.4 of the National Electricity Code, customers or their retailer of choice must pay network charges by the due date specified in the bill.

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ENERGEX 2002/2003 Distribution Loss Factors Guidelines for Non ICC or Generator Customers

Note that this is a summary of ENERGEX's Distribution Loss Factor information, please refer to the NEMMCO website for further detail (www.nemmco.com) or contact ENERGEX.

DESCRIPTION	DLF
132/110 Kv	1.00510
33 kV	1.01560
11 kV Bus	1.01990
11 kV Line	1.03280
Low Voltage Bus	1.04400
Low Voltage Line	1.07680

Notes on Distribution Loss Factors

The Distribution Loss factors presented in the above table do not apply to Individually Calculated Customers or Generators.

What is a Distribution Loss Factor?

The Distribution Loss Factor (DLF) is used to convert the customer's actual metered energy into the equivalent energy passing through the appropriate transmission network connection point by allowing for the distribution network losses that the customer's energy usage causes between their meter and the transmission network connection point.

The appropriate DLF and the applicable Transmission Loss Factor are to be applied to the metered consumption for retail billing and market settlement purposes.

Every contestable customer must have a DLF. The appropriate DLF is associated with the location of their metering point.

The Distribution Loss Factors in this guide are as defined by clause 3.6.3(d)(1) of the National Electricity Code.

DLF Categories:

132/110 kV	Applicable to all 132/110kV bus and line customers.
33 kV	Applicable to all 33kV bus and line customers.
11kV Bus	Applicable to bus connection points that are HV metered at a voltage less than 30kV and greater than 1,000 volts.
11kV Line	Applicable to line connection points that are HV metered at a voltage less than 30kV and greater than 1,000 volts.
Low Voltage Bus	Applicable to bus connection points that are LV metered at a voltage lower than 1,000 volts.
Low Voltage Line	Applicable to line connection points that are LV metered at a voltage lower than 1,000 volts.

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DLF Definitions:

132/110 kV	The 132/110 kV DLF will apply to all customers who are metered at 132 kV or 110 kV.
33 kV	The 33 kV DLF will apply to all customers who are metered at 33 kV.
11kV Bus	If customers believe that they qualify for an 11 kV Bus DLF rather than an 11 kV Line DLF they should submit details justifying their claim to ENERGEX. As an example, customers who are supplied from a Zone Substation by dedicated 11kV lines and are metered at or immediately adjacent to the Zone Substation would be eligible for a 11kV Bus DLF. Zone Substations are defined as Substations where the voltage level is stepped down from a voltage greater than 30kV.
11kV Line	The 11kV Line DLF will apply to all customers who are connected to high voltage distribution lines and are metered at the same voltage as the line is energised.
LV Bus	Customers who are supplied from a distribution substation on their site (owned or leased) and are metered at the low voltage level are eligible for a LV Bus DLF.
LV Line	All customers not covered by any of the above categories

DLF Application Rules:

1. The DLF's in this guide do NOT apply to ICC customers and Generators.
2. The Customer or Retailer of Choice (ROC) must nominate the DLF appropriate to the connection. The Customer or ROC may be required to justify their nominated DLF.
3. The DLF's will be reviewed and published on a periodic basis in line with the requirements of the National Electricity Code.
4. Where the voltage at the metering point is not listed, or there is doubt about the application of these rules, please request further advice from ENERGEX.